

Seminar 8 — Mechanisms and Diffusion in Digital Governance

IR227 Politics of Change — TA slides (draft, editable)

July 2026

What you'll do in 90 minutes

[Bridge to seminar] *Take your assigned digital-governance case. Identify which institutional-change mechanism best characterises its recent trajectory. Apply the Brussels-effect conditions. Then a brief reflection: what does this case tell us about the AI-governance challenge in Lecture 11?*

- Six cases, three pairs.
- Each group: 3–4 students, one case.
- Mechanism identification, diffusion assessment, AI reflection, plenary.

Three methodological points up front

1. Mechanism identification requires specifying *what* rule, *what* environment, *how* the relationship has changed. Vague answers don't qualify. (Hacker et al. 2015; Streeck and Kathleen 2005)
2. The Brussels-effect mechanism has five conditions, not one. Market size is necessary but not sufficient. (Bradford 2020b)
3. Industry is a variable, not just an opponent. Some firms benefit from regulation.

Six cases, three pairs

Pair archetype	Case A	Case B
Foundational paradigm	USA permissionless innovation	EU precautionary regulation
State-led developmental	China digital governance	India Aadhaar
Diffusion outcomes	GDPR diffusion	AI Act diffusion

Within each pair: same archetype, different mechanism, different diffusion outcome. (Bradford 2020b; OECD 2024; Streeck and Kathleen 2005)

Recap: institutional-change mechanisms

Framework: The five mechanisms

Drift. Rules unchanged, environment changes; outcomes diverge.

Conversion. Rules unchanged in form, redirected to new purposes.

Layering. New rules added on top of old without dismantling.

Displacement. Old institutions actively replaced by new ones.

Exhaustion. Institutions wither without intentional replacement.

Drift, conversion, and layering predominate. Displacement is rare. Exhaustion is occasional. (Hacker et al. 2015; Streeck and Kathleen 2005)

Recap: the Brussels-effect conditions

Framework: Five conditions for the Brussels effect

1. Market size.
2. Regulatory capacity.
3. Stringent standards.
4. Inelastic targets.
5. Non-divisibility.

De facto vs de jure diffusion. Bendiek-Stürzer refinement: internal EU consensus and decision-making structure shape diffusion credibility. (Bendiek and Stuerzer 2023; Bradford 2020b)

Recap: weaponized interdependence

- Counter-mechanism to the Brussels effect. (Farrell and Newman 2019)
- States at network choke-points can coerce compliance from network members.
- Examples: SWIFT, undersea cables, semiconductor supply chains, cloud infrastructure.
- Brussels effect = voluntary firm decisions; weaponized interdependence = coercive choke-point control.
- Both shape global digital governance.

Worked example: USA Section 230 — drift par excellence

- **Rule.** Communications Decency Act 1996 Section 230: platform immunity from liability for user content.
- **Environment 1996.** Message boards, small hosts, dial-up; “platforms” meant something different.
- **Environment 2025.** Social-media oligopolies governing political speech at planetary scale.
- **Mechanism.** Rules unchanged on paper; environment transformed entirely. Textbook drift. (Hacker et al. 2015; Streeck and Kathleen 2005; Zittrain 2008)
- **Recent conversion attempts.** Lina Khan FTC (2021–2025) redirecting Sherman / Clayton Acts to dominant tech firms; mixed court outcomes through 2024–25 transitions.

Worked example: EU GDPR — textbook Brussels effect

- **Source rule.** GDPR (Regulation 2016/679, applicable 25 May 2018) replaced 1995 Data Protection Directive.
- **Five conditions.** Market size (US\$17tn GDP, ~516m affluent consumers); regulatory capacity (DPAs, ECJ); stringent standards (4% global turnover fines); inelastic targets (EU consumers can't relocate); non-divisibility (uniform compliance cheaper than per-jurisdiction). (Bradford 2020a,b)
- **De facto effect.** Multinationals restructured global data-handling 2018–19.
- **De jure effect.** 100+ jurisdictions with GDPR-style laws (UNCTAD / Greenleaf / DLA Piper trackers).
- **Bendiek-Stürzer refinement.** Internal EU consensus produces credible signalling. (Bendiek and Stuerzer 2023)

Worked example: India Aadhaar — conversion with degenerative outcomes

- **Conversion target.** Welfare-delivery institutions (PDS, MGNREGA, subsidy disbursement) redirected to require Aadhaar authentication.
- **Three-layer scheme.** (Masiero and Arvidsson 2021) *Access:* exclusion (auth failure denying entitlement). *Monitoring:* distortion (biometric back-end opacity). *Policy:* redirection (PDS displaceable by cash transfers).
- **Brussels-effect assessment.** Market size + regulatory capacity yes; inelastic targets and non-divisibility absent (Indian welfare systems are jurisdiction-bound).
- **Diffusion.** Limited. Aadhaar-specific design doesn't travel.
- **AI reflection.** Integrating AI into welfare delivery will produce similar exclusion-distortion-redirection outcomes if institutional fit not addressed.

Phase 1 — mechanism identification (20 min)

Identify which mechanism (drift, conversion, layering, displacement, exhaustion) best characterises your case's recent trajectory:

1. Name the rule.
2. Name the environment.
3. Name the change in the relationship.
4. Defend the mechanism choice with evidence from the case extract.

Output: a clear mechanism identification + brief defence.

Phase 2 — Brussels-effect assessment (20 min)

For each of the five conditions:

1. Identify whether it is present, partially present, or absent.
2. Defend each verdict with evidence.
3. Reach a verdict on whether the case's regulatory model is diffusing.

Output: a five-condition assessment + diffusion verdict.

Phase 3 — drafting + AI reflection (15 min)

Case: The diagnostic memo

- One paragraph: mechanism-and-diffusion memo. Mechanism identification, condition-by-condition Brussels-effect assessment, diffusion verdict.
- Two-to-three sentences: AI reflection. What specific implication does this case have for the AI-governance challenge in Lecture 11?

Be specific. “Useful for thinking about AI” is not a reflection.

Phase 4 — plenary (25 min)

Within each pair: one group presents the mechanism + diffusion assessment. The other group adds the contrasting point.

- Foundational paradigm: USA vs. EU. Same technology, different mechanisms.
- State-led developmental: China vs. India. Different state-led models, different conversion targets.
- Diffusion outcomes: GDPR vs. AI Act. Same mechanism, different diffusion outcomes.

Then: cross-cutting reflection on what this implies for AI governance.

Three things to take away

1. Drift, conversion, and layering predominate across digital-governance cases. The mechanism typology is a diagnostic for AI governance. (Hacker et al. 2015; Streeck and Kathleen 2005)
2. The Brussels-effect mechanism specifies why and when diffusion happens but does not exhaust the diffusion landscape. Weaponized interdependence operates alongside it. (Bradford 2020b; Farrell and Newman 2019)
3. Fragmentation across multiple regulatory paradigms is more likely than convergence — for digital governance now and AI governance going forward.

Tomorrow: the climate transition — where the conditions checklist is least favourable.

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